MACROECONOMICS

MACRO-08

Time: 5 minutes

Outcome: Convert nominal values across time and apply indexation.

Difficulty: Intermediate

Indexing and Real Values

THE CORE IDEA

A price index converts nominal amounts across time and can be used to index wages, benefits, rents, or tax thresholds. Converting an earlier nominal amount into later dollars requires multiplying by the later index divided by the earlier index. Indexation preserves purchasing power only when the chosen index and adjustment timing closely match the prices relevant to the recipient.

HOW TO RECOGNIZE IT

- Identify the nominal amount, the starting index, and the ending index.
- Scale the nominal amount by the ratio of the ending index to the starting index.
- Check whether the contract uses the same index and adjustment timing as the prices relevant to the recipient.
- A fully indexed nominal payment preserves purchasing power only to the extent that the index matches actual costs.

WATCH OUT

Do not assume an indexed contract guarantees an exact real outcome in every circumstance. Indexation adjusts a nominal amount using a specified index; lags or an imperfectly matched index can still change real value.

WORKED EXAMPLE: INDEXING A NOMINAL PAYMENT

A salary was $40,000 when CPI was 100. CPI is now 160. 40,000 x 160/100 = 64,000. Therefore, $64,000. Indexation adjusts a nominal amount using a specified index; lags or an imperfectly matched index can still change real value.

CHECK YOURSELF

Why might a tax threshold be indexed to a price index?

READY? **Return to the game and master this concept.**